Luxembourg RAIF: CSSF AML/KYC 10% Look-Through Compliance Guide

Corvane Legal & Compliance · Version 1.0 of 3 October 2025 · Author: David Le · Derived from CASE-2025-067 · Reproduces counsel's Revision 2 numbering for Kingsmoor European Infrastructure RAIF III SCSp

> *How to use this guide: Sections 1 to 7 and Annex C reproduce the operative text of Luxembourg counsel's Revision 2 pack, so section references match* `ubo_4tier_lookthrough_schema.json`. *Section 8 is Corvane's implementation guidance for reusing the look-through on another Luxembourg fund.*

Section 1. Purpose and Framework

Northlake Infrastructure Management S.à r.l., the CSSF-authorised AIFM (the "**AIFM**") of Kingsmoor European Infrastructure RAIF III SCSp, a Luxembourg special limited partnership qualifying as a RAIF under the Law of 23 July 2016 (the "**Fund**"), applies these measures on the Fund's behalf to each prospective limited partner (an "**Investor**"), having regard to the Law of 12 November 2004 on the fight against money laundering and terrorist financing, as amended (the "**AML Law**"), CSSF Regulation No 12-02, CSSF Circular 18/698 and the Law of 13 January 2019 establishing a Register of Beneficial Owners (the "**RBE Law**"). Revision 2, by Clausen Pfaffenthal Avocats (Luxembourg counsel), supersedes Revision 1 of 11 August 2025. The 10% threshold and four-Tier look-through in Section 5.2(c) and Section 5.3 are counsel-specified requirements adopted by the AIFM as Fund policy; they are stricter than the AML Law, and nothing in this Pack restates or amends any statutory threshold.

Section 2. Due-Diligence Tiers

The AIFM assigns each Investor a risk rating before acceptance, which places it in one of three tiers:

(a) **Simplified** (Article 3-1, AML Law): lower-risk Investors, such as EU-regulated financial institutions, where the AIFM's risk assessment supports it; never for High-Risk Exposure or PEPs.

(b) **Standard** (Article 3, AML Law): all other Investors; identification and verification, beneficial ownership under Section 5.2(a) and source of funds under Section 6.

(c) **Enhanced** (Article 3-2, AML Law): High-Risk Exposure Investors, Multi-Tier Holding Structures and Investors with a PEP connection; adds Section 5.2(c), Section 5.3, source of wealth, senior management approval and enhanced ongoing monitoring.

Section 3. High-Risk Exposure

3.1 High-Risk Lists

A "**High-Risk Jurisdiction**" is one identified in Commission Delegated Regulation (EU) 2016/1675, as amended, on the FATF lists of jurisdictions subject to a call for action or under increased monitoring, or designated by the AIFM, as at the AIFM's latest update (the "**Snapshot Date**").

3.2 High-Risk Exposure Investor

An Investor is a "**High-Risk Exposure Investor**" where:

(a) it is incorporated, established or domiciled (or, for a natural person, resident) in a High-Risk Jurisdiction; or

(b) its subscription monies or capital contributions are remitted from, or routed through, an account in a High-Risk Jurisdiction.

3.3 Multi-Tier Holding Structure

An Investor has a "**Multi-Tier Holding Structure**" where:

(a) it declares in the Investor Risk Questionnaire (Annex A) that it is held through two or more tiers of legal persons or arrangements; or

(b) a legal person or arrangement is disclosed at Tier 2 or below under Section 5.3.

Section 4. Politically Exposed Persons

Each natural person disclosed under Section 5, and each authorised signatory, declares whether he or she is a politically exposed person ("**PEP**"), a family member of a PEP or a known close associate of a PEP, within the meaning of the AML Law. A positive declaration requires the enhanced tier, senior management approval and the measures in Section 6. A former PEP remains so treated for at least twelve (12) months.

Section 5. Beneficial Ownership Look-Through

5.1 General

The AIFM identifies each beneficial owner within the meaning of Article 1(7) of the AML Law and verifies identity; the RBE Law register is one source, never relied upon exclusively.

5.2 Applicable Threshold

(a) **Standard.** Subject to paragraph (c), an Effective Percentage of **more than 25%**, consistent with the ownership indicator in the AML Law.

(b) **Control-only.** A natural person with control by other means is disclosed at any percentage.

(c) **Strict look-through.** For a High-Risk Exposure Investor or an Investor with a Multi-Tier Holding Structure, an Effective Percentage of **10% or more**, with look-through for up to **four (4) Tiers** under Section 5.3. This counsel-specified requirement is adopted as Fund policy; it is stricter than, and does not restate, the statutory indicator.

(d) **Fallback.** Where no natural person is identified after exhausting all possible means and there are no grounds for suspicion, the senior managing officials are recorded, with the steps taken.

5.3 Recursive look-through

(a) **Tiers.** Tier 1 is the direct holders of the Investor; Tier 2 the holders of each Tier 1 entity; and so on.

(b) **Recursion.** Each legal person or arrangement whose Effective Percentage meets the Applicable Threshold is itself looked through until natural persons are identified or Tier 4 is reached.

(c) **Effective Percentage.** The product of ownership percentages along the chain, aggregated across chains.

(d) **Depth limit.** A legal person at Tier 4 that still meets the Applicable Threshold requires a certified structure chart and referral to the AIFM's compliance officer before acceptance.

(e) **Remainder.** The Investor attests that no undisclosed holder meets the Applicable Threshold.

Section 6. Source of Funds and Source of Wealth

Each Investor identifies the account in its own name from which it will fund; third-party payments are not accepted. In the enhanced tier, the Investor also evidences the source of wealth of each beneficial owner and each PEP, proportionately to the risk.

Section 7. Ongoing Due Diligence and Transitional Provisions

7.1 Changes and records

Investors notify the AIFM within thirty (30) days of any change in ownership, domicile or remitting account. Records are kept for at least five (5) years after the end of the business relationship.

7.2 Revision 2 transition

(a) An Investor whose subscription was in progress but unsigned on 29 September 2025 need not re-submit information already provided and is asked only for the additional information required by Section 5.2(c) and Section 5.3.

(b) Subscriptions signed before that date remain valid; for a High-Risk Exposure Investor, the additional information is obtained under Section 7.1 before admission at the relevant closing.

Annex C — Beneficial Ownership Disclosure

Part 1. Information required for each holder

For every holder disclosed: name; type (natural person, or legal person or arrangement); country of residence or incorporation; direct percentage held in the entity above; control-only flag (Section 5.2(b)); and, for natural persons, the PEP declaration (Section 4). A legal person or arrangement whose Effective Percentage meets the Applicable Threshold below Tier 4 discloses its own holders (Section 5.3(b)), together with the remainder attestation (Section 5.3(e)).

Part 2. Worked example (High-Risk Exposure Investor)

Investor: Sable Ridge Infrastructure Holdings Ltd, whose subscription monies are remitted from an account in a High-Risk Jurisdiction (Section 3.2(b)). Applicable Threshold: 10% or more, up to four Tiers (Section 5.2(c)). "HRJ-A" and "HRJ-B" denote High-Risk Jurisdictions on the Snapshot Date; natural persons are abbreviated.

Ref · Tier	Holder	Type · Country	Direct %	Effective %	Treatment
1 · T1	Orvieto Capital S.à r.l.	Legal · Luxembourg	58.00	58.00	Look through
2 · T1	K. Almasi	Natural · HRJ-A	18.00	18.00	Beneficial owner
3 · T1	Other holders	—	24.00	each below 10	Remainder attested
1.1 · T2	Brightwater Ventures Ltd	Legal · HRJ-A	45.00	26.10	Look through
1.2 · T2	R. Delacroix	Natural · France	30.00	17.40	Beneficial owner
1.3 · T2	Other holders	—	25.00	each below 10	Remainder attested
1.1.1 · T3	Tamsin Peak Holdings Inc.	Legal · HRJ-B	60.00	15.66	Look through
1.1.2 · T3	L. Osei-Brandt	Natural · HRJ-A	40.00	10.44	Beneficial owner; PEP (Section 4)

Ref · Tier	Holder	Type · Country	Direct %	Effective %	Treatment
1.1.1.1 · T4	M. Varga	Natural · HRJ-B	100.00	15.66	Beneficial owner

Under the Standard Threshold only Ref 1 (58.00%) and Ref 1.1 (26.10%) would meet the threshold, none of the four natural persons above would be disclosable, and the fallback in Section 5.2(d) would apply. Section 5.2(c) closes that gap for High-Risk Exposure Investors and Multi-Tier Holding Structures.

Part 3. Investor attestation

The Investor confirms that the holders disclosed in this Annex C are complete and accurate at the date of signature; that, for each entity looked through, no undisclosed holder has an Effective Percentage meeting the Applicable Threshold; and that it will notify the AIFM of any change under Section 7.1.

> *Drafting note: on the subscription platform the Applicable Threshold and the four-Tier limit are configured as parameters for each Investor and may be changed only with the written approval of the AIFM's compliance officer. Annexes A (Investor Risk Questionnaire) and B (PEP Declaration) are unchanged by Revision 2 and are not reproduced in this excerpt.*

Section 8. Implementation Guidance (Corvane)

Setting in `ubo_4tier_lookthrough_schema.json`	Source	Change it when
`ubo_threshold_pct` default 25, exclusive	Section 5.2(a)	Never per fund; it mirrors the AML Law indicator
`strict_lookthrough_threshold_pct` 10, inclusive	Section 5.2(c)	Counsel specifies a different strict threshold
`strict_lookthrough_applies_to`	Sections 3.2 and 3.3	Counsel extends the strict test, e.g. to `ALL_INVESTORS`
`max_depth` 4	Section 5.3(b)	Counsel changes the number of Tiers
`high_risk_list_source.snapshotDate`	Section 3.1	The AIFM updates its high-risk list

(a) Change parameters with an audit entry (who, approver, reason, source clause); never edit the field expressions.

(b) Keep the comparator with the number: "more than 25%" is exclusive, "10% or more" is inclusive. Test x–0.01, x and x+0.01.

(c) Publish a new schema version and run the migration rule for unsigned drafts, as Section 7.2(a) allows; signed subscriptions follow Section 7.2(b).

(d) At kickoff on any counsel-led Luxembourg launch, ask counsel whether AML/KYC changes are pending and secure a transitional clause equivalent to Section 7.2.